

Profit Niti AI CFO Report

1. Big Picture — How the Business Looks Right Now

The business is navigating a period of significant contraction and operational pressure. While the company is profitable on a Year-to-Date (YTD) basis with a net profit of ₹84.9 million, the most recent month (May 2024) shows a sharp decline in performance, with sales dropping 34% and gross margin falling from 8.88% to 3.73% compared to the prior month. This has squeezed operating profit to a thin 0.58% of sales. On the positive side, the balance sheet is being actively managed, with total liabilities reduced by over ₹270 million, and the company maintains a strong cash position of over ₹217 million.

GREEN FLAG BOX — What's Working Well

- **Strong Cash & Debt Management:** Healthy cash balance of ₹217.1M and a significant reduction in total debt by ₹52.5M in May, improving financial stability.
- **Efficient Receivables Collection:** Accounts Receivable Days improved to 11.59 days in May, indicating excellent efficiency in collecting money from customers.
- **Robust Interest Coverage:** The interest cover ratio is exceptionally strong at 248.02, meaning operating profit comfortably covers interest expenses by a wide margin.

RED FLAG BOX — What Needs Attention

- **Severe Profitability Erosion:** Monthly net profit plummeted from ₹79.8M to just ₹5.1M, with operating profit margin crashing to 0.58%, signaling a major squeeze on core business earnings.
- **Negative Accounts Payable Days:** AP days are -2.72, meaning the company is paying suppliers significantly faster than it is being paid, which is a major drain on cash flow.
- **Rising Overhead Costs:** Overhead expenses surged 39% in May while sales fell, causing overhead as a percentage of sales to more than double, hurting efficiency.

CFO Advice:

Immediate priority is to diagnose and address the severe drop in gross margin. Investigate whether this is due to rising input costs, pricing pressure, or a shift in sales mix. Simultaneously, renegotiate supplier payment terms to align them with your receivables cycle to stop the cash flow bleed caused by negative payable days.